

Strategy & Objective

The Arculus Preferred Income Fund is a domestic fixed income portfolio invested in Australian Government and Semi-Government Bonds, Corporate Senior & subordinated Bonds, issued by Australian corporates, ASX-listed hybrid and debt securities, and cash.

The Fund aims to provide unitholders with returns higher than cash and traditional debt securities over the medium to long term with a target rate of return of the 90-day BBSW rate plus 350bps. The target return is not guaranteed. The return is a combination of income distribution and capital growth.

The Fund does not employ leverage either directly or using derivatives and has no offshore currency, structured credit or leveraged securities. Up to 30% of the Fund can be invested in non-investment grade securities (S&P, Fitch rated below BBB-, Moody's rated below Baa3).

The Fund may be appropriate for investors seeking a medium risk investment over a 3 to 5-year period.

ESG

Environmental, Social and Governance issues form part of the risk analysis framework. For further information on Arculus' ESG policies and practices, visit <https://arculus.com.au/environmental-social-and-governance/>.

Fund details

DDH Graham Limited (DDH) is the responsible entity of the Fund. As responsible entity, DDH is responsible for the management and administration of the Fund, including the issue of the Fund's Product Disclosure Statement and all other public announcements concerning the Fund.

DDH has appointed GCI Australia Pty Ltd (GCI) ABN 68 140 364 576 as the Fund's outsourced investment manager. Arculus Funds Management Pty Ltd (Arculus), a wholly owned subsidiary and Corporate Authorised Representative of GCI undertakes the investment management activities for the Fund.

APIR Code DDH0001AU
ARSN 108 161 575

Fund availability

This Fund can be accessed by investing directly, or indirectly, using the Wealth02, HUB24, Netwealth, OneVue, Praemium Investment, Ausmaq, BT Panorama, Macquarie Wrap and Australian Money Market platforms.

Performance to 31 August 2025 (annualised)

	3M	6M	1Y	2Y	3Y	5Y	Since Inception
Total Return	1.43%	2.54%	5.80%	6.29%	5.95%	4.18%	4.56%
Cash Distribution	2.06%	3.67%	6.83%	6.38%	5.70%	4.67%	5.39%
+/- Growth	-0.63%	-1.13%	-1.03%	-0.09%	0.25%	-0.49%	-0.83%

The Fund is benchmark unaware, but the target rate of return is the 90-day Bank Bill Swap Rate plus 3.5% before fees.

*Fund returns are net of all fees. Returns are calculated using exit prices and are calculated after all fees and costs have been deducted, assumes any distributions are reinvested, and no allowance made for tax. The 'distribution' component represents the amount paid by way of distribution, including net realised capital gains. Numbers may not sum due to rounding. Past performance is not an indicator of future performance.

The inception date of the Fund was 25 October 2004. Arculus commenced as Investment Manager on 01 July 2015.

Australian index returns 31 August 2025

Index	1m Return	3M Return	12M Return
Bloomberg Australia Bank Bill Index	0.32%	0.94%	4.25%
Bloomberg Australia Gov't 3-5 Year Index	0.37%	0.78%	4.31%
Bloomberg Australia Composite 0-3 Year Index	0.34%	0.88%	4.57%
Bloomberg Australia Composite 3-5 Year Index	0.42%	0.96%	4.99%
Bloomberg Australia Composite All Maturities Index	0.33%	1.05%	4.31%

Bloomberg Index data is sourced from Evans & Partners.

Fund rating

Initially rated 'Favourable' by SQM Research in December 2018, the Fund was upgraded to 'Superior' in December 2020 and retained annually. The latest review was March 2025.

As of 30 June 2025, the Fund is also rated by FundMonitors.com.

Fund ratings are not a recommendation and are subject to change.



5 Year



Fund size

As of 31 August 2025, the Net Asset Value of the Fund was \$155,449,159.17.

Portfolio characteristics 31 August 2025

Running Yield*	5.98%
Yield to Maturity*	8.50%
Average Margin	4.80%
Average Years to Maturity	2.75
Number of Securities Held	51
Fixed	11.31%
Floating	79.58%
Cash	9.11%
Modified Duration	0.37
Credit Duration	1.06

* Based on fund metrics at review date. Future returns may be different.

Fees

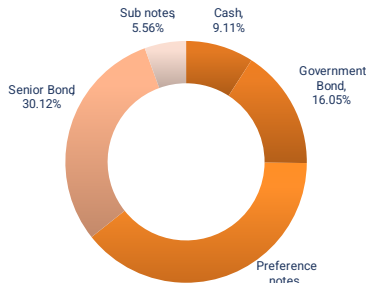
MER	0.75% + GST
Buy/Sell Spread	+0.15% / -0.15%
Performance Fees	Nil

Disclaimer. This document is not a recommendation to acquire a particular financial product. The information in this document is of a general nature only. DDH Graham Limited (DDH) has not considered the investment objectives, financial situation or needs of any person or entity, when preparing this document. Persons should refer to the Product Disclosure Statement of this product (available from www.ddhgraham.com.au) and seek professional advice before relying on the information. Information used in this publication has been prepared in good faith by DDH Graham Limited. However, neither DDH Graham Limited nor Arculus Funds Management Pty Ltd warrant the accuracy of the information, and to the extent permitted by law, disclaim responsibility for any loss or damage of any nature whatsoever which may be suffered by any person directly or indirectly through relying upon it, whether that loss or damage is caused by any fault or negligence of either DDH Graham Limited or Arculus Funds Management Pty Ltd or otherwise. Past performance is not indicative of future performance.

Asset breakdown

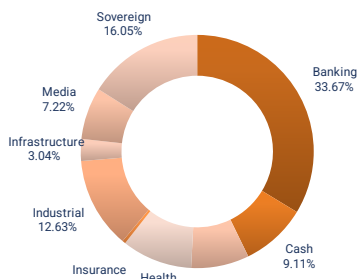
Sub Type Analysis

■ Cash
 ■ Government Bond
 ■ Preference notes
 ■ Senior Bond
 ■ Sub notes



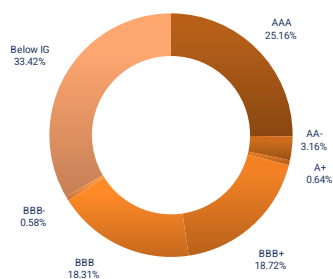
Sector Allocation

■ Banking
 ■ Cash
 ■ Finance
 ■ Health
 ■ Insurance
 ■ Industrial
 ■ Infrastructure
 ■ Media
 ■ Sovereign

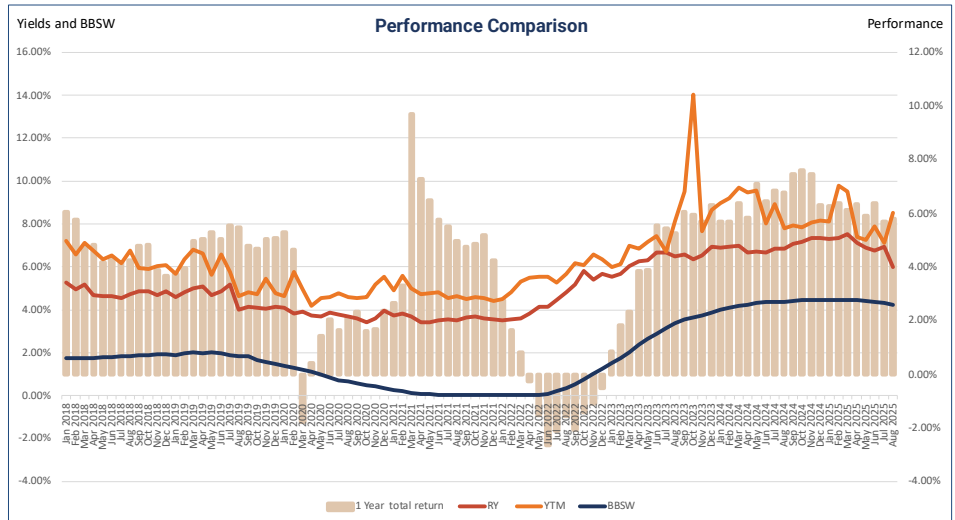


Credit Rating

■ AAA
 ■ AA-
 ■ A+
 ■ BBB+
 ■ BBB
 ■ BBB-
 ■ Below IG



Performance



Source Arculus, DDH Graham Limited data. Past performance is not an indicator of future performance.

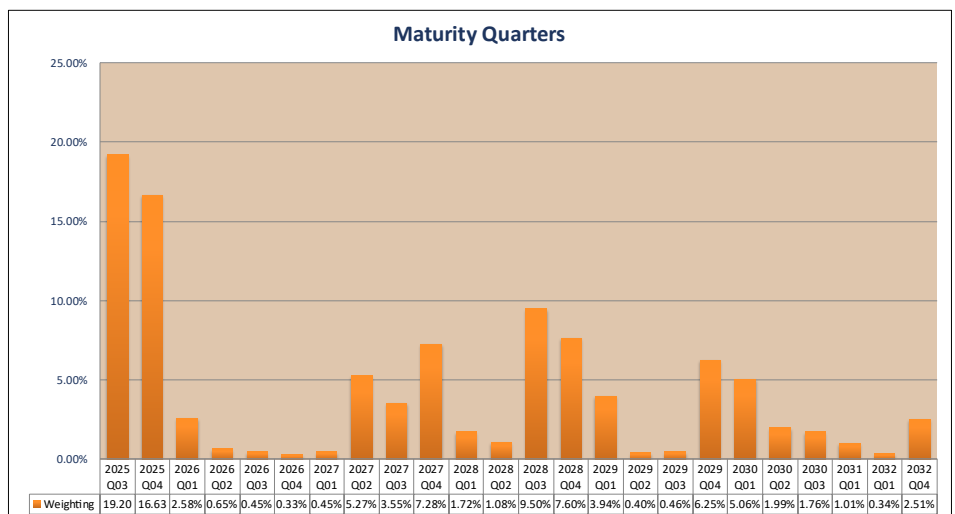
The portfolio produced a solid 62 basis points (bps), net of all fees, return in August. The manager anticipates that current conditions (yield to maturity of 8.50% and the short-dated nature of the current holdings) may support higher returns into the end of the year. The running yield fell in August from 6.96% to 5.98% due to the reinvestment of maturing bonds into short-dated Commonwealth Treasury bonds (October and November maturities) and the high cash weighting of 9.11%.

Fund positioning

Across the entire universe of bonds and subordinated debt securities credit margins have tightened considerably since the Trump Liberation Day Tariff announcement despite both geopolitical and economic risks remaining elevated. Additionally, the market has been able to absorb a sharp increase in corporate bond supply since 2023. The valuation metrics for corporate bonds then need to be judged against this backdrop of risks and increased supply. This looks to be shaping up into an environment where active management will begin to outperform as the easy gains that flow to active and passive managers from falling interest rates and contracting credit margins are likely to have run their course. It is all hard yards ahead.

Fortunately, the portfolio began the new financial year with a number of higher-yield, very short-term investments. As these investments approach their scheduled maturity dates over the next four months their yield to maturity will rise. As they mature, we are then able to roll the capital into AAA short-dated Commonwealth treasury bonds (maturing before year-end) or increase the cash weighting in the portfolio while still maintaining a strong yield to maturity. The estimated yield to maturity at the end of August was 8.50% with a relatively short credit duration profile of 1.06 years, the lowest level the fund has ever achieved. This tactical strategy will mean that over the rest of this year the non-investment grade weighting will fall as the AAA weighting rises.

Maturity Quarters



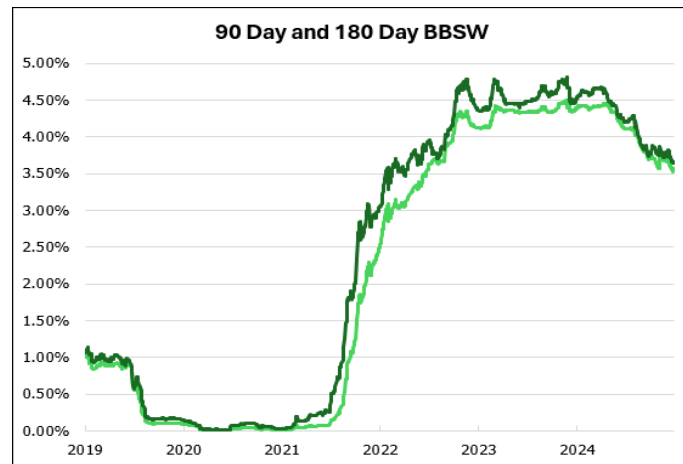
Source: Arculus

The portfolio running yield at the end of August dipped from 6.96% to 5.98% as funds were tactically shifted out of higher yielding Tier 2 bonds and non-major senior bonds into Commonwealth Treasury paper maturing by December (now weighted at 15.96%) and the cash weighting was increased from 3% to 9.11%.

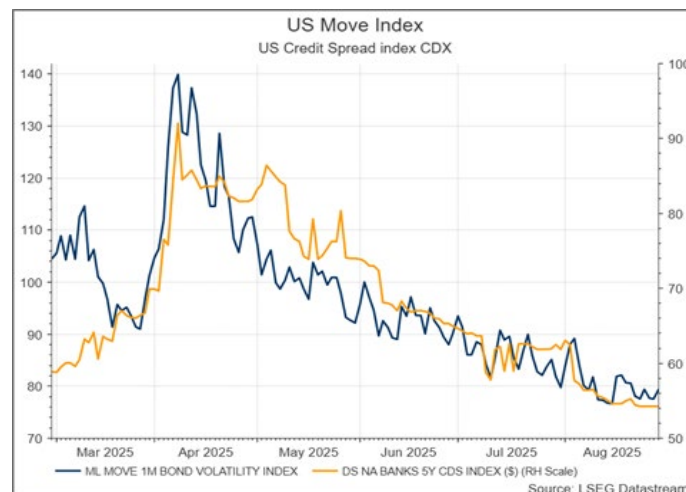
If there is a spike in global asset volatility in September, the Fund is well placed to shift out of cash and AAA Commonwealth Treasuries and back into senior and Tier 2 bonds once margins have widened back to a level where there is sufficient return for risk.

Market review

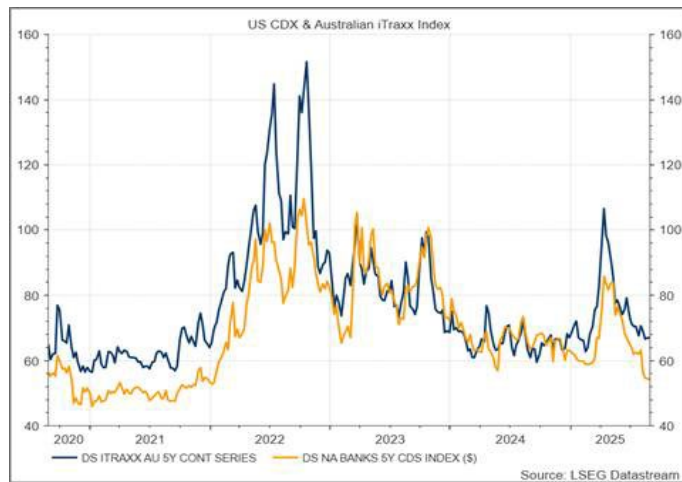
There are two factors at work to reduce the yield on floating rate bonds at the moment. The first is the RBA cutting rates. The RBA interest setting board decided to cut its official rate by 25bps at its August meeting which flowed into the 90-day BBSW rate, falling from near 3.70% to finish the month at 3.57%. At the beginning of the year the 90-day BBSW rate was at 4.40%.



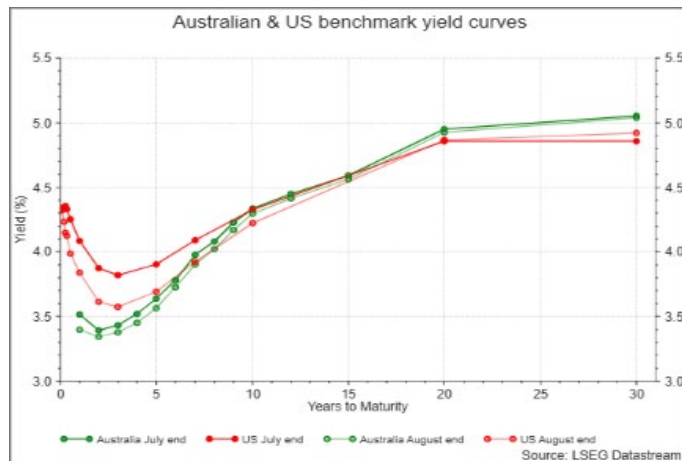
The second factor is the extraordinary contraction in the credit margins on bonds. Across nearly all developed economy money markets we have seen a consistent and significant fall in bond and credit volatility since the spike in April that occurred when the markets reacted to the Trump Tariff announcement.



This fall in volatility has driven a remarkable tightening of credit margins in all developed economy money markets. The extent of this margin contraction can be seen at an aggregate level, in the US CDX and Australian iTraxx charts below. The US credit tightening is leading the Australian market, but it has now reached levels only seen during the depths of the pandemic lockdowns when both monetary and fiscal stimulus temporarily depressed margins.



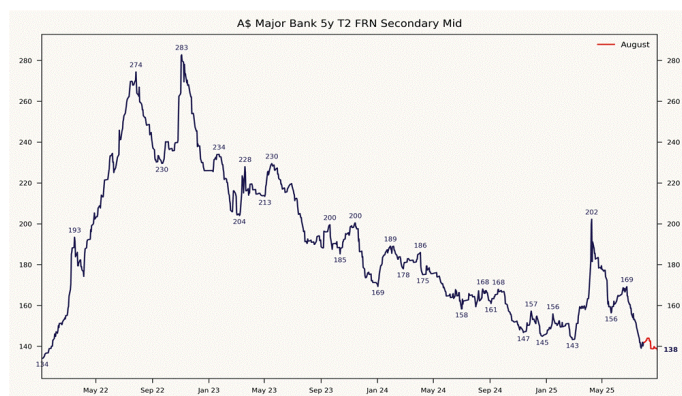
The Australian benchmark yield curve continues to track changes in the US curve at the long end, although notably, the Australian 10-year has moved from a 15bps discount to a slight premium to the US 10-year over the past two months. This most likely reflects the outlook for the Australian dollar by offshore investors.



The steepening of the Australian curve in the 2–7-year area and the reduction in the difference between the 1- and 2-year bond yields suggests that the market is only expecting one more rate cut from the RBA in this cycle.

Tier 2 bonds

Major bank 10 non-call 5-year Tier 2 traded in a tight range (138-144bps) in August before closing at 138bps – the tightest level since Jan 2022. This margin contraction reflects the markets expectation that major bank non-call 5-year Tier 2 supply will be limited over the rest of calendar 2025. There has not been any non-call 5-year Tier 2 issued over the past three months, but there has been new long dated corporate issuance of subordinated bonds and senior bonds that has kept the 10-year margin at 162bps. New supply in the months ahead of 10-year corporate senior and subordinate bonds may mean that the current 24bps margin between non-call 5-year and non-call 10-year Tier 2 is maintained or widens. The current tight margins in Australia are providing a window for issuers to get a better outcome here than they could achieve in either the US or European markets.



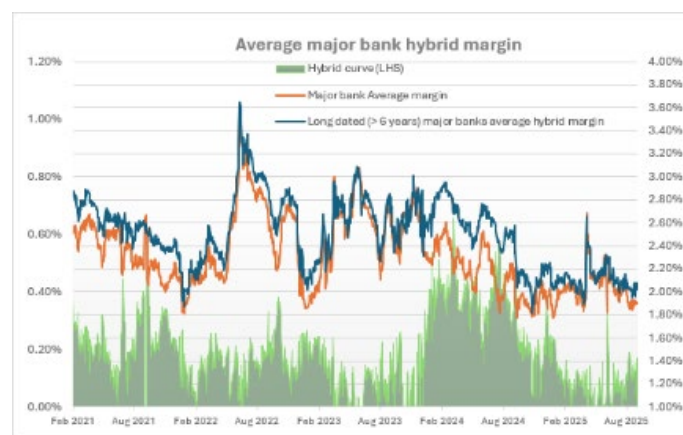
There is always the possibility that a major Australian bank will pull forward its capital requirements to take advantage of the current tight tier 2 margins. They may also issue more Tier 2 paper if the proposed changes to New Zealand's capital settings is adopted by the Reserve Bank of New Zealand. The Central Bank's capital settings review has proposed the removal of Additional Tier 1 securities and the addition of a new loss-absorbing capital layer that must be issued out of the parent entity (in most cases an Australian major bank) and down streamed to the New Zealand entity.

Hybrids

The hybrid market continued its rally since April with the average major bank hybrid margin falling by 0.11% during August to 1.90%. This was helped by several factors:

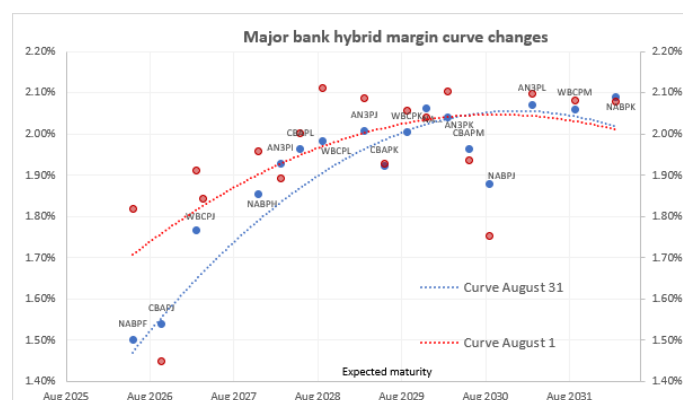
- Strong credit markets with investment grade bonds in general moving towards post-GFC lows.
- Thirst for yield with equity markets at highs, investors looking to de-risk into yield.
- Lighter volumes especially mid-month coincided with margins tightening as buyers chased limited supply.
- Expectations of a strong September for hybrids given the \$1.7bn cash redemption of WBCPH with funds due September 22.

The chart below shows the margins over time and the current low points.



Source: Arculus

The scatter diagram below shows how the individual major bank hybrids performed over August. The red dots and line are from August 1, while blue dots and labels are from August 31st. The curve steepened in August with the short end margins contracting while the long end was stable. The stronger demand evident in the middle part of the curve is likely a reflection of the absence of comparable alternative for investors to a major bank Additional Tier 1. The listed private credit funds offered as an alternative to APRA-regulated bank issued Additional Tier 1 securities have a considerably higher risk profile that will be tested should an economic contraction occur.



Source: Arculus